KDC MEDIA FUND, L.P.

FINANCIAL STATEMENTS
AS OF JUNE 30, 2021

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Deloitte.

REVIEW REPORT OF THE INDEPENDENT AUDITOR TO THE PARTNERS OF
KDC MEDIA FUND, L.P.

Introduction:

We have reviewed the accompanying interim financial information of **KDC MEDIA FUND L.P.** (the "Fund") which includes the condensed statement of financial position as of June 30, 2021 and the related condensed statements of comprehensive income and changes in partners' capital for the six and three months periods then ended. These interim financial statements are the responsibility of the Fund's management. Our responsibility is to express a conclusion on this interim financial information based on our review.

Scope of Review:

We conducted our review in accordance with Review Standard (Israel) 2410 of the Institute of Certified Public Accountants in Israel "Review of Interim Financial Information Performed by the Independent Auditor of the Entity". A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with accepted auditing standards in Israel and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion:

Based on our review nothing has come to our attention that causes us to believe that the above financial information is not prepared, in all material respects, in accordance with International Financial Reporting Standards (IFRS).

Brightman Almagor Zohar

Brightman Almagor Zohar & Co.
Certified Public Accountants
A Firm in the Deloitte Global Network

Tel Aviv, August 17, 2021

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KDC MEDIA FUND, L.P.
STATEMENTS OF FINANCIAL POSITION

	Note	As of June 30, 2021	As of June 30, 2020	As of December 31, 2020
		(Unaudited)		(Audited)
		(in thousands of NIS)		
ASSETS				
Current assets:				
Cash and cash equivalents		2,725	-	1,426
Receivables		2,575	1,296	13,764
Related parties		5,628	6,024	5,734
		10,928	7,320	20,924
Non-current assets:				
Investments at fair value through profit or loss	3	50,096	31,051	40,082
Total Assets		61,024	38,371	61,006
LIABILITIES				
Current liabilities:				
Payables		2,236	-	766
Payables - Related parties		21,104	6,024	6,865
Total Liabilities		23,340	6,024	7,631
PARTNERS' CAPITAL				
Contributed capital, net		27,971	28,481	39,304
Retained earnings		9,713	3,866	14,071
Total partners' capital		37,684	32,347	53,375
Total Liabilities and Partners' Capital		61,024	38,371	61,006

August 17, 2021
Date of approval

General Partner

The accompanying notes are an integral part of the financial statements.

KDC MEDIA FUND, L.P.

STATEMENTS OF COMPREHENSIVE INCOME

	Note	For the six months ended June 30,		For the three months ended June 30,		For the year ended December 31,
		2021	2020	2021	2020	2020
		(Unaudited)		(Unaudited)		(Audited)
		(in thousands of NIS)				
Profit from revaluation of investments at fair value through profit or loss		-	427	-	-	13,308
Operating expenses	4	4,508	1,182	4,032	587	2,848
Operating income (loss)		(4,508)	(755)	(4,032)	(587)	10,460
Financing income (expenses), net		150	-	(374)	-	(1,010)
Net profit (loss)		(4,358)	(755)	(4,406)	(587)	9,450

The accompanying notes are an integral part of the financial statements.

KDC MEDIA FUND, L.P.

STATEMENTS OF CHANGES IN PARTNERS' CAPITAL

	For the six months ended June 30, 2021 (Unaudited)		
	Contributed capital, net	Retained earnings	Total
	(in thousands of NIS)		
Partners' Capital as of January 1, 2021	39,304	14,071	53,375
Contributions	-	-	-
Distributions	(11,333)	-	(11,333)
Net loss	-	(4,358)	(4,358)
Partners' Capital as of June 30, 2021	27,971	9,713	37,684

	For the six months ended June 30, 2020 (Unaudited)		
	Contributed capital, net	Retained earnings	Total
	(in thousands of NIS)		
Partners' Capital as of January 1, 2020	21,913	4,621	26,534
Contributions	6,568	-	6,568
Net loss	-	(755)	(755)
Partners' Capital as of June 30, 2020	28,481	3,866	32,347

The accompanying notes are an integral part of the financial statements.

KDC MEDIA FUND, L.P.

STATEMENTS OF CHANGES IN PARTNERS' CAPITAL

	For the three months ended June 30, 2021 (Unaudited)		
	Contributed capital, net	Retained earnings	Total
	(in thousands of NIS)		
Partners' Capital as of April 1, 2021	39,304	14,119	53,423
Contributions	-		
Distributions	(11,333)	-	(11,333)
Net loss	-	(4,406)	(4,406)
Partners' Capital as of June 30, 2021	27,971	9,713	37,684

	For the three months ended June 30, 2020 (Unaudited)		
	Contributed capital, net	Retained earnings	Total
	(in thousands of NIS)		
Partners' Capital as of April 1, 2020	25,805	4,453	30,258
Contributions	2,676	-	2,676
Net loss	-	(587)	(587)
Partners' Capital as of June 30, 2020	28,481	3,866	32,347

	For the year ended December 31, 2020 (Audited)		
	Contributed capital, net	Retained earnings	Total
	(in thousands of NIS)		
Balance as of January 1, 2020	21,913	4,621	26,534
Contributions	17,391	-	17,391
Net profit	-	9,450	9,450
Balance as of December 31, 2020	39,304	14,071	53,375

The accompanying notes are an integral part of the financial statements.

KDC MEDIA FUND, L.P.
STATEMENTS OF CASH FLOWS

	For the six months ended June 30,		For the three months ended June 30,		For the year ended December 31,
	2021	2020	2021	2020	2020
	(Unaudited)		(Unaudited)		(Audited)
	(in thousands of NIS)				
CASH FLOWS - OPERATING ACTIVITIES:					
Net Profit (loss)	(4,358)	(755)	(4,406)	(587)	9,450
Adjustments					
Profit from revaluation	-	(427)	-	-	(13,308)
Changes in assets and liabilities:					
Decrease (Increase) in receivable	(242)	-	89	-	863
Changes in related parties	3,012	1,182	2,578	587	2,358
Increase in payables	1,470	-	1,448	-	520
	4,240	1,182	4,115	587	3,741
Net cash outflow from operating activities	(118)	-	(291)	-	(117)
CASH FLOWS - INVESTING ACTIVITIES:					
Investments in investment at fair value through profit or loss	(10,014)	-	(9,687)	-	(9,482)
Proceeds from Realizations of investments	11,431	-	-	-	-
Net cash inflow (outflow) from investing activities	1,417	-	(9,687)	-	(9,482)
CASH FLOWS - FINANCING ACTIVITIES:					
Capital contributions	-	-	-	-	11,025
Net cash inflow from financing activities	-	-	-	-	11,025
Increase in cash and cash equivalents	1,299	-	9,978	-	1,426
Cash and cash equivalents - beginning of the period	1,426	-	12,703	-	-
Cash and cash equivalents - end of the period	2,725	-	2,725	-	1,426
NON-CASH INVESTING AND FINANCING ACTIVITIES:					
Investments in investment at fair value through profit or loss	-	3,297	-	-	3,297

KDC MEDIA FUND, L.P.

NOTES TO THE FINANCIAL STATEMENTS

(In thousands of NIS)

NOTE 1 - GENERAL

A. KDC media fund, L.P., an Israeli limited partnership (the "Partnership") was formed and commenced operations on April 2016. KDCP GP KDC Media Fund Ltd is the General Partner of the Partnership (The "General Partner").

B. The principal purpose of the Partnership is to generate returns primarily through (i) making investments (by way of investing in equity, equity-related and debt securities, including securities convertible into, exercisable or exchangeable for equity securities) in various verticals of media, including content, gaming, ad tech, dual screen, e-commerce, video, mar tech, mobile and broadcasting Israeli and Israeli Related start-up corporations; (ii) managing, supervising and disposing of the investments mentioned in subsection (i); and (iii) engaging in any other activities incidental or ancillary thereto as the General Partner may deem necessary or advisable . Subject to the provisions of the Partnership Agreement, the Partnership may engage in any activity that is lawful, and shall have all of the powers available to a limited partnership organized under the Ordinance.

C. The aggregate commitment made by the Partnership's limited partners to invest in the partnership is approximately $65.2 million USD. As of June 30, 2021, the cumulative Capital Contribution is approximately $11.1 million USD and the remaining balance of the Capital Commitments is equal to $54.1 million USD.

D. The Partnership Agreement states that the management of the Partnership shall be vested exclusively in the general partner, and the Partner will have full control of the Partnership's business and affairs. The partnership will indemnify the general partner for all amounts of its expenses.

In December 2019, second amended and restated partnership agreement was signed and stating that the Partnership shall pay the General Partner, an advanced quarterly management fee for the investment advice and other services to be provided hereunder (the "Management Fee"), calculated with respect to each Limited Partner as set forth herein. As of the Second Closing Date and during the Investment Period (as defined in the agreement), the Management Fee payable with respect to each Limited Partner will equal 0.5% per quarter of the Subscriptions made by such Limited Partner. Thereafter, the Management Fee payable with respect to each Limited Partner will be equal to 0.5% per quarter of such Limited Partner's Sharing Percentage of the aggregate cost basis of all the Investments made by the Partnership, reduced by the aggregate cost basis of the Investments that were written off to zero by the Partnership, sold or otherwise disposed of by the Partnership. During the Investment Period or thereafter will the annual aggregate Management Fee payable to the General Partner be no less than US$ 500,000.

NOTE 2 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The financial statements have been prepared in conformity with international financial reporting standards (IFRS) as issued by the International Accounting Standards Board (IASB).

The significant accounting policies that have been applied in the preparation of the condensed interim financial statements are identical to those that were applied in preparation of the Partnership's most recent annual financial statements.

NOTE 3 - INVESTMENTS AT FAIR VALUE THROUGH PROFIT OR LOSS

A. Composition:

	For the six months ended June 30,		For the year ended December 31,
	2021	2020	2020
	(Unaudited)		(Audited)
	(In thousands of NIS)		
Syte - Visual Conception Ltd.	26,723	15,083	26,723
Brandtotal Ltd.	6,411	6,411	6,411
Drove Network Ltd.	700	700	700
M.K. Maapilim Ltd.	1,868	1,868	1,868
Comedy Technologies, Inc.	-	4,138	-
Odo Security Ltd.	-	2,149	-
Deep-Dub Ltd.	4,133	702	1,041
Flying Pigs Ltd.	3,339	-	3,339
Grasp Studios Ltd.	1,630	-	-
Pixi Gaming Ltd.	2,358	-	-
Edge Gaming Ltd.	2,934	-	-
	50,096	31,051	40,082

B. Movement:

	For the six months ended June 30,		For the year ended December 31,
	2021	2020	2020
	(Unaudited)		(Audited)
	(In thousands of NIS)		
Opening balance	40,082	28,623	28,623
Investments during the period	10,014	3,297	12,778
Change in fair value during the period	-	427	13,308
Realizations	-	(1,296)	(14,627)
	50,096	31,051	40,082

NOTE 4 - OPERATING EXPENSES

Composition:

	For the six months ended June 30,		For the three months ended June 30,		For the year ended December 31,
	2021	2020	2021	2020	2020
	(Unaudited)		(Unaudited)		(Audited)
	(in thousands of NIS)				
Management fees	3,764	876	3,320	440	2,018
Organizational expenses	665	228	661	135	484
Professional fees	75	65	47	12	326
Other	4	13	4	-	20
	4,508	1,182	4,032	587	2,848

NOTE 5 - SIGNIFICANT EVENTS AND TRANSACTIONS

1. On June 30, 2020, the Final Closing Date of the fund was set, with an aggregate subscriptions amount for this closing of $50.4 million USD, and a total subscription amount of approximately $65.2 million USD.

2. On June 30, 2020, the Board of Directors of the General Partner resolved to make a distribution to the limited partners of the fund in amount of approximately $3.5 million USD.